

### Working Capital Insight

Sun Pharma appears to be structurally cash-generative, with improving working capital efficiency over the period. The Cash Conversion Cycle decreased from 260.53 days in FY23 to 228.42 days in FY25, indicating that cash is being converted more efficiently. Trade receivables remain the largest working-capital component, while increasing trade payables partially offset the cash tied up in receivables and inventory.

### Cash Flow Observation

Operating Cash Flow (OCF) exceeded Profit After Tax (PAT) in FY24 and FY25, demonstrating strong earnings quality and effective cash conversion. In FY23, OCF was lower than PAT, suggesting temporary working-capital absorption, likely due to higher receivables and inventory requirements. The subsequent improvement in OCF indicates stronger cash generation from core operations.

### Balance Sheet Verification

The accounting equation was verified for all three financial years. Total Assets were equal to Total Liabilities plus Shareholders' Equity in FY23, FY24, and FY25, confirming that the balance sheet balances correctly across the entire model.